

REVIEW OF FINANCIAL YEAR (FY) 2025

The Revised FY2025 fiscal position is summarised in Table 2.1.

Operating Revenue

Operating Revenue is projected to be \$130.86 billion, which is \$8.08 billion or 6.6% higher than Estimated FY2025. This increase is mainly contributed by higher collections from Corporate Income Tax, Vehicle Quota Premiums, Other Taxes, Stamp Duty, and Statutory Boards' Contributions, which are partially offset by lower collections from Goods and Services Tax.

Corporate Income Tax collections are projected to be \$35.24 billion, which is \$2.57 billion or 7.9% higher than Estimated FY2025. Personal Income Tax collections are projected to be \$20.64 billion, which is \$0.41 billion or 2.0% higher than Estimated FY2025.

Goods and Services Tax collections are projected to be \$21.30 billion, which is \$0.43 billion or 2.0% lower than Estimated FY2025.

Vehicle Quota Premiums are projected to be \$8.66 billion, which is \$2.06 billion or 31.1% higher than Estimated FY2025.

Other Taxes (Land Betterment Charge and Annual Tonnage Tax) are estimated to be \$3.98 billion, which is \$1.61 billion or 67.8% higher than Estimated FY2025.

Stamp Duty collections are projected to be \$6.80 billion, which is \$0.88 billion or 14.8% higher than Estimated FY2025.

Statutory Boards' Contribution collections are projected to be \$0.84 billion, which is \$0.43 billion or 106.0% higher than Estimated FY2025.

Total Expenditure

Total Expenditure is projected to be \$124.46 billion, which is \$0.67 billion or 0.5% higher than Estimated FY2025.

Special Transfers

Special Transfers including Top-ups to Statutory and Trust Funds are projected to be \$23.37 billion.

Net Investment Returns Contribution (NIRC)

NIRC is projected to be \$27.53 billion, which is \$0.40 billion or 1.5% higher than Estimated FY2025.

Capitalisation of Nationally Significant Infrastructure and SINGA Interest Costs and Loan Expenses

The borrowing proceeds under the Significant Infrastructure Government Loan Act (SINGA) can only be used to finance nationally significant infrastructure. Capitalisation of Nationally Significant Infrastructure is projected to be \$5.03 billion, which is \$0.40 billion or 8.7% higher than Estimated FY2025.

SINGA Interest Costs and Loan Expenses are projected to be \$0.49 billion, which is \$0.07 billion or 12.1% lower than Estimated FY2025.

Budget for FY2025

Before taking into account Top-ups to Statutory and Trust Funds, NIRC, Capitalisation of Nationally Significant Infrastructure and SINGA Interest Costs and Loan Expenses, the basic surplus is projected to be \$2.63 billion, which is an improvement from the basic deficit of \$4.79 billion in Estimated FY2025. After factoring in the Top-ups to Statutory and Trust Funds of \$19.60 billion, NIRC of \$27.53 billion, Capitalisation of Nationally Significant Infrastructure of \$5.03 billion, and SINGA Interest Costs and Loan Expenses of \$0.49 billion, the Revised FY2025 overall fiscal position is projected to be a surplus of \$15.10 billion, which is larger than the overall fiscal surplus of \$6.81 billion in Estimated FY2025.

TABLE 2.1: FISCAL POSITION IN FY2024 AND FY2025

	Actual FY2024	Estimated FY2025	Revised FY2025	Revised FY2025 Compared to	
				Actual FY2024	Estimated FY2025
	\$billion	\$billion	\$billion	%change	%change
OPERATING REVENUE	115.52	122.78	130.86	13.3	6.6
Corporate Income Tax	30.93	32.67	35.24	14.0	7.9
Personal Income Tax	19.06	20.23	20.64	8.3	2.0
Withholding Tax	2.37	2.40	2.49	5.2	3.8
Statutory Boards' Contributions	0.64	0.41	0.84	30.9	106.0
Asset Taxes	6.64	6.89	6.99	5.2	1.3
Customs, Excise and Carbon Taxes	3.43	4.04	3.98	16.3	(1.6)
Goods and Services Tax	20.04	21.73	21.30	6.3	(2.0)
Motor Vehicle Taxes	2.42	2.57	2.39	(1.5)	(6.9)
Vehicle Quota Premiums	6.38	6.60	8.66	35.8	31.1
Betting Taxes	3.23	3.29	3.63	12.4	10.2
Stamp Duty	6.58	5.92	6.80	3.3	14.8
Foreign Worker Levy	6.75	7.39	7.14	5.8	(3.4)
Water Conservation Tax	0.36	0.40	0.40	12.3	0.6
Other Taxes (Land Betterment Charge and Annual Tonnage Tax)	1.43	2.37	3.98	179.1	67.8
Fees and Charges (Excluding Vehicle Quota Premiums)	4.68	5.08	5.48	17.1	7.8
Others	0.59	0.77	0.89	51.2	16.1
Less:					
TOTAL EXPENDITURE	112.28	123.79	124.46	10.8	0.5
Operating Expenditure	88.90	97.03	97.47	9.6	0.5
Development Expenditure	23.38	26.76	26.99	15.4	0.9
PRIMARY SURPLUS / DEFICIT	3.24	(1.01)	6.40		
Less:					
SPECIAL TRANSFERS ¹	25.01	23.38	23.37	(6.5)	(0.0)
Special Transfers Excluding Top-ups to Statutory and Trust Funds	2.96	3.78	3.77	27.6	(0.2)
SG60 Vouchers	–	2.02	2.00		
CDC Vouchers	0.78	1.06	1.07		
Other Transfers ²	2.18	0.69	0.70		
BASIC SURPLUS / DEFICIT	0.28	(4.79)	2.63		
Top-ups to Statutory and Trust Funds	22.05	19.60	19.60	(11.1)	–
Changi Airport Development Fund	–	5.00	5.00		
Coastal and Flood Protection Fund	–	5.00	5.00		
Future Energy Fund	5.00	5.00	5.00		
National Productivity Fund	2.00	3.00	3.00		
Other Funds ³	15.05	1.60	1.60		
Add:					
NET INVESTMENT RETURNS CONTRIBUTION	24.07	27.14	27.53	14.4	1.5
OVERALL BUDGET SURPLUS / DEFICIT	2.31	2.74	10.56		
Add:					
CAPITALISATION OF NATIONALLY SIGNIFICANT INFRASTRUCTURE	4.20	4.63	5.03	19.8	8.7
Less:					
DEPRECIATION OF NATIONALLY SIGNIFICANT INFRASTRUCTURE	–	–	–	n.a.	n.a.
SINGA INTEREST COSTS AND LOAN EXPENSES ⁴	0.38	0.56	0.49	31.3	(12.1)
OVERALL FISCAL POSITION	6.13	6.81	15.10		

Note: Due to rounding, figures may not add up. Negative figures are shown in parentheses.

¹ Special Transfers including Top-ups to Statutory and Trust Funds.

² Other Transfers for FY2025 include the CIT Rebate Cash Grant, Top-ups to Edusave and Post-Secondary Education Accounts, U-Save Rebates, CPF Transition Offset, NS LifeSG Credits, Top-ups to Self-Help Groups, Enterprise Innovation Scheme, and COL Special Payment. Other Transfers for Actual FY2024 include the COL Special Payment, MediSave Top-ups, U-Save Rebates, CIT Rebate Cash Grant, NS LifeSG Credits, CPF Transition Offset, S&CC Rebates, and Top-ups to Self-Help Groups.

³ Other Funds for FY2025 consist of the National Research Fund and Cultural Matching Fund. Other Funds for Actual FY2024 consist of the Goods and Services Tax Voucher Fund, Edusave Endowment Fund, Financial Sector Development Fund, National Research Fund, Progressive Wage Credit Scheme Fund, Bus Service Enhancement Fund, Majulah Package Fund, Skills Development Fund, and Public Transport Fund.

⁴ SINGA Interest Costs and Loan Expenses include the annual effective interest costs (which is computed based on the yield to maturity multiplied by the face value of the bond) and other ancillary loan expenses incurred in connection with the SINGA. It excludes principal repayment and transfer of loan discount to Development Fund. It is different from the Debt Servicing and Related Costs presented in the Expenditure Estimates and Annex to Expenditure Estimates for Head Y.